City of Westminster

Cabinet Report

Decision Maker:	Cabinet
Date:	23 February 2026
Classification:	General Release
Title:	Business and Financial Planning 2026/27 to 2028/29
Wards Affected:	All
Financial Summary:	This report sets out the Council's medium-term plan for the next three years and proposes the budget and council tax for the 2026/27 financial year
Report of:	Gerald Almeroth, Executive Director – Finance and Resources

1. Executive Summary

1.1. This report brings together the Council's business and financial planning and looks forward over the next three years to set out how it will support the Council's objectives under the Fairer Westminster strategy, supported by a medium-term financial plan and balanced budget for 2026/27. Cabinet is asked to consider the report and recommend its adoption to Full Council on 4 March 2026.

1.2. This report outlines a balanced budget for 2026/27 that includes a proposed 2% increase in council tax and a one-off use of reserves of £19.7m. The medium-term financial plan forecasts an ongoing budget gap of £87.8m by the third year. Central government funding for 2026/27 is confirmed and indicative grant figures are provided through the multi-year settlement for 2027/28 and 2028/29.

1.3. The proposed 2026/27 revenue budget assumes a freeze in the general council tax element and a 2% increase for the adult's social care precept element. At Band D this will result in an annual increase of £10.54 or an equivalent weekly amount of 20p per week. When combined, the general element of council tax and adults social care precept, for Westminster, will rise from £526.80 to £537.34 at Band D.

1.4. The proposed budget reflects the significant reduction in grant funding that the Council will be impacted by through the changes that have been made as part of the Fair Funding Review. The reductions are phased over the next three years, with £75.6m of annual funding coming out by the third year. Floor protection funding of £24.9m remains in the third year.

1.5. In light of the major changes to grant funding the Council has scoped out a whole council transformation programme which will ensure the organisation can maintain services and deliver them while remaining modern, people-centred and financially resilient. This programme requires investment in the short term but can deliver substantial efficiencies and a minimum forecast of £30m is included.

1.6. The recommended net General Fund budget for 2026/27 is £282.666m, this is a net decrease of £11.4m on the 2025/26 adjusted net budget. The budget changes include costs pressures and investments totalling £56.4m including; further Fairer Westminster investments of £2.1m, additional resources for temporary accommodation and Adults Social Care pressures of £9.3m, other service cost pressures including inflation of £27.6m, increased capital financing costs of £3.5m, decreased interest earnings of £6m, transformation investment of £2.5m and other changes of £5.3m.

1.7. Savings and cost reductions totalling £54.5m including new savings of £27.8m, transformation savings of £3m, previously agreed savings proposals of £12.7m, reduced employer pension contributions of £8m and council tax collection fund surplus of £3m. Fair Funding grant reductions including HPG grant loss totalling £26.4m. The balance is then funded from increased council

tax income including second homes premium of £8.6m and £19.7m from reserves and balances.

2. Recommendations

That Cabinet approves the following recommendations to Full Council for consideration at its meeting on 4 March 2026:

Council Tax

2.1. That the Council Tax for a Band D be agreed at £537.34 for 2026/27.

2.2. That subject to the consideration of the previous recommendation, the council tax for the City of Westminster, excluding the Montpelier Square area and Queen's Park Community Council, for the year ending 31 March 2027, be as specified in the Council Tax Resolution in Appendix 1.

2.3. That the Precepts and Special Expenses be as also specified in Appendix 1 for properties in Montpelier Square and the Queen's Park Community Council

2.4. That the formal resolution for 2026/27 attached at Appendix 1 including the council tax requirement of £83.214m be agreed.

2.5. Note the proposed Greater London Authority precept (Band D) of £510.51, an increase of £20.13 (4.1%) in the adjusted Band D precept.

2.6. That the Council continues the Westminster Community Contribution scheme to allow residents in the City to voluntarily contribute towards supporting discretionary services that support the four priorities of: helping young people reach their full potential, including staying safe; contributing positively to their community and developing longer term skills; providing extra support for people who find themselves sleeping on Westminster's streets; tackling social isolation and loneliness; and promoting social inclusion.

Revenue Budget

2.7. To note the views of the Scrutiny Budget Task Group set out in Appendix 2.

2.8. That the proposed General Fund net budget requirement of £282.666m summarised in Appendix 3 is approved.

2.9. That £9.84m of the general fund balance and £9.84m of earmarked reserves are used to partially fund the budget in 2026/27.

2.10. That the savings, pressures and investments for 2026/27 to 2028/29 set out in Appendix 4, 5 and 6, are approved.

2.11. That the Equality Impact Assessments included in Appendix 7 are noted to inform the consideration of the budget.

2.12. To note the Housing Revenue Account (HRA) Business Plan 2026/27 and 30 Year Housing Investment Plan presented concurrently to Cabinet on 23 February 2026 that recommends the HRA budget and rent levels for 2026/27.

2.13. To note the Dedicated Schools Grant (DSG) allocations totalling £210.162m and agree that the schools block of £139.144m is allocated to schools using the local formula agreed by Westminster Schools Forum which reflects the majority of the National Funding Formula factor values, with the pupil led funding being higher to reflect the overall Schools Block allocation and meets DfE requirements.

2.14. That the Executive Director of Finance and Resources be delegated responsibility for any technical adjustments required to be made to the budget.

2.15. That the cost of inflation, pressures and contingencies be issued to service budgets if the need materialises, to the limits contained within the budget calculations.

2.16. That the views of consultees and consultation approach, as set out in the relevant section be considered by Council.

Capital Programme

2.17. To note the Capital Strategy 2026/27 to 2030/31, forecast position for 2025/26 and future years' forecasts summarised up to 2039/40 that sets out the Council's capital programme and financing summarised in this report and set out in detail in a concurrent report on this agenda.

Reserves, Balances and Budget Estimates

2.18. To agree the reserves policy as set out in section 12.

2.19. To note the report of the Section 151 Officer regarding the robustness of the budget process, the estimates underpinning the budget and the adequacy of the reserves as set out in Appendix 8 as required by S25 of the Local Government Act 2003.

Treasury Management and Investment Framework

2.20. To note the Treasury Management Strategy for 2026/27 including the annual investment strategy, borrowing limits and prudential indicators summarised in this report and set out in detail in a concurrent report on this agenda.

2.21. To note the 2026/27 Integrated Investment Framework report also concurrently on this agenda, which sets out the policies and framework for future investment decisions for the Council.

3. Reasons for Decision

3.1. The preparation of the budget is the final stage of the annual business planning cycle leading to the approval for the council tax for the forthcoming

financial year. There is a statutory requirement to set a balanced budget and submit a budget return to central government. Approval of the revenue estimates constitutes authority for the incurring of expenditure in accordance with approved policies.

4. Fairer Westminster Strategy – Achievements

4.1. Westminster has delivered a wide range of improvements to support residents and communities and deliver effective and efficient services. Since 2022, more than £26 million has been committed to Cost of Living support, alongside universal free school lunches for all children aged 3 to 14. Investment has also been made across community health, Special Educational Needs and Disabilities (SEND) support and new community hubs, helping residents access more support closer to home.

4.2. Community safety has been enhanced through a dedicated anti-social behaviour (ASB) team of officers and City Inspectors focused on ASB hotspots across the City, backed by nearly £3 million of investment. The Council also continues to make Westminster a great place for children to grow up, becoming only one of two local authorities to have three consecutive Outstanding judgements from Ofsted for our Children's Services. Additionally, Adult Social Care services have been rated 'Good' by the Care Quality Commission. The Council has also launched a Sanctuary Strategy, designed with people with lived experience, to improve support for sanctuary seekers in Westminster.

4.3. In terms of housing, the Council has introduced secure lifetime tenancies, refreshed its approach to homelessness and rough sleeping, opened new Housing Service Centres and made the Housing Allocation Scheme clearer and more transparent. Stronger protections for private renters, the launch of the Westminster Housing Compact and achieving the top C1 regulatory rating reflect ongoing work to improve housing standards and accountability.

4.4. Alongside this, progress has been made on economic opportunity, the environment and how the Council works with residents. Community benefits are built into major contracts, and new programmes have launched to help residents access digital, green and youth employment opportunities. This includes initiatives such as ‘Meanwhile On’, helping over 60 emerging brands, entrepreneurs and creatives open shops in empty, high-profile locations such as Oxford Street, rent-free for six months, bringing new life to vacant shops with local, sustainable and innovative businesses.

4.5. Environmental action has included retrofitting more than 2,000 homes, expanding electric vehicle charging to the highest level of any UK local authority, launching a £6 million Climate Fund and investing in a zero-emissions waste fleet. Westminster is recognised nationally for its strong climate response, and its Sustainable City Charter now includes 75 businesses committing to becoming Net Zero.

4.6. The Council has strengthened local democracy and continued to put resident voices at the heart of its decision-making through Citizens’ Assemblies and its

Resident Forum, as well as broader engagement that has directly informed the development of major strategies. It has also transformed how residents report local waste issues by enhancing its Report It tool, enhanced safeguards against modern slavery (achieving a 'Leading' rating in the Home Office's Modern Slavery Assessment Tool), and received national recognition for inclusion and disability confident employment practices, being recognised nationally as a top 10 UK employer for inclusion this year, and achieving Level 3 Leader status as a Disability Confident Leader.

5. Funding Reform

Background

5.1. The Government's Fair Funding Review was first announced in December 2017 to modernise and update the way local government funding is allocated across England. The existing system, based on outdated formulas and data, was widely regarded as complex and opaque. The review aimed to create a simpler, more transparent approach that better reflected local authorities' relative needs and resources, while supporting financial sustainability and multi-year settlements.

5.2. Initial consultations in 2018 focused on developing new formulas for assessing need and resource capacity, alongside proposals to align the review with the planned expansion of business rates retention. However, implementation was delayed, and the original proposals were never fully realised. At that time, it was understood that Westminster was likely to be adversely impacted by the proposed changes due to its high taxbase and reduced population. Consequently, an estimated reduction in funding of £27m over three years was built into the Medium-Term Financial Plan (MTFP) reflecting an estimated maximum reduction in funding of £9m per annum.

Fair Funding Review

5.3. In 2025, the Government relaunched the Fair Funding Review with a renewed commitment to reform and a challenging timetable, with the new arrangements to be implemented from April 2026 onwards. The updated proposals sought to consolidate multiple funding streams into a single, streamlined system, update formulas used to measure relative need and more fully reflect local tax-raising capacity.

5.4. In June 2025 Government issued a consultation setting out planned changes. Westminster raised significant concerns around the lack of recognition of the cost impacts of daytime visitors and the substantial housing cost pressures faced by residents which contribute to higher levels of deprivation.

5.5. A policy statement was issued by the Government on the 20 November, alongside a comprehensive response to the summer consultation. Key elements included:

- Continuation of the Recovery Grant for eligible authorities in 2026/27;

- Reaffirmation of the Government's objective to delivery higher funding to authorities with the highest levels of deprivation;

- Publication of updated Relative Needs Formulas including population projections and the Index of Multiple Deprivation including housing costs;

- Reduced weighting for daytime population and no account taken of tourists; and

- Introduction of new damping floors for authorities losing funding under the reforms.

5.6. The provisional Local Government Finance Settlement for 2026/27 to 2028/29 was published on 17 December 2025. It outlined provisional funding allocations for local authorities across the three years.

5.7. The proposed changes have a significant adverse impact on Westminster. This is largely due to the implementation of updated population data, deprivation measures, reduced recognition for daytime visitor and full resource (council tax) equalisation. Despite transitional protections, the phased introduction of the new arrangements from 2026/27 to 2028/29 will create a substantial financial pressure for the Council. The revised formulas place greater emphasis on factors such as local tax-raising capacity and area cost adjustments, which do not fully capture the complexity of Westminster's demographic pressures and service demands. As a result, the Council's funding allocation under the new system does not adequately reflect the level of need. While the Council supports the principle of a fairer funding system, the proposed approach does not take account of the factors that drive significant costs in Westminster.

National Picture

5.8. The settlement indicates that nationally Core Spending Power (CSP) will rise in cash terms by 5.7% in 2026/27, 4.3% in 2027/28 and 4.4% in 2028/29. Core Spending Power consists of the following:

- Income from council tax - assumed to rise nationally by 6.6%, 6.8% and 6.8% in each of the three years respectively;

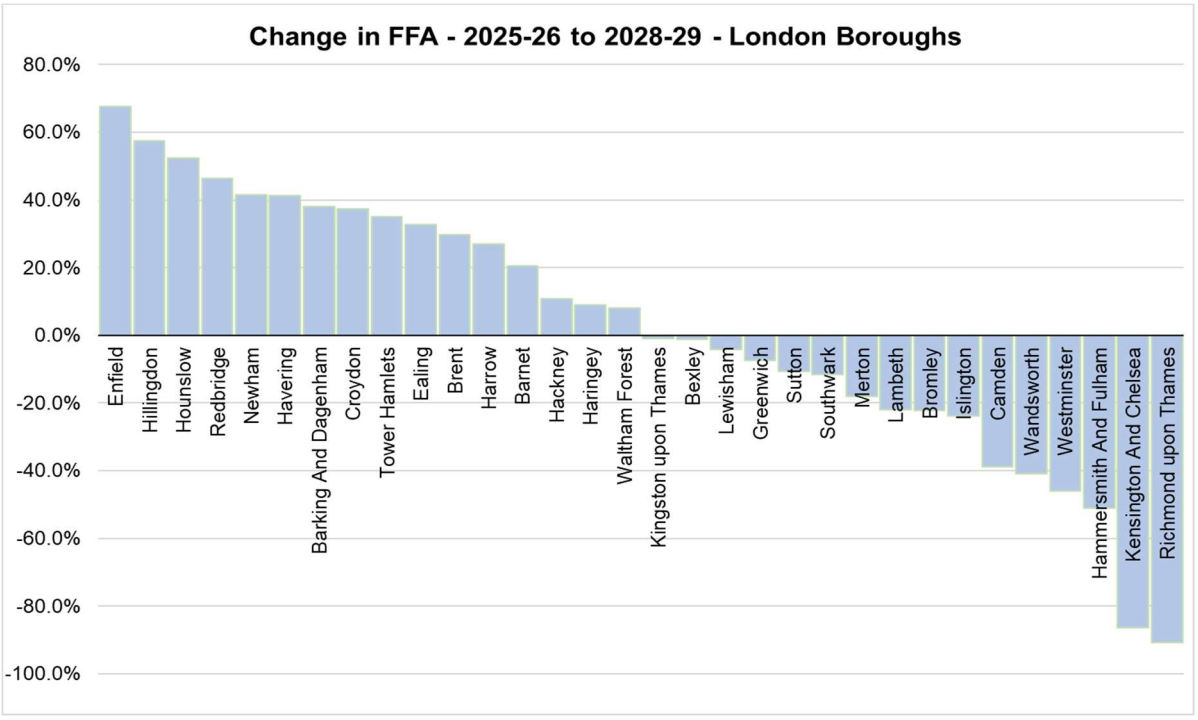
- Fair Funding Assessment (FFA) previously known as Settlement Funding Assessment (SFA) and made up of Revenue Support Grant, Redistributed Business Rates and several specific grants that are now being rolled into FFA (such as social care grant);

- Recovery grant (which Westminster does not receive); and

- Four new consolidated grants.

5.9. The funding proposals have resulted in some very significant movements in funding across different authority groups. Outer London will have the largest increase in CSP (+23.7% over 3 years), followed by Metropolitan authorities

(+19.1% over 3 years). Shire County Councils and Unitaries will have below average increases in CSP (+14.8% and 12.7% respectively). In contrast, Inner London will receive an average increase of only +5.2% over the next 3 years (including the funding floors), by far the lowest of any upper-tier authority. The table below illustrates the change in Fair Funding Allocation (grant) over the next three years for all London Boroughs:



Source: London Councils

5.10. Councils will move towards their new fair funding shares across the multi-year settlement in one-third increments. The following funding floors will be implemented through the transition phase of three years:

- 100% income protection - For all local authorities where the difference between their pre-reform and post-reform income is 15% or less of their pre-reform income, the Government will ensure that all their funding is protected

- 95% income protection - For upper tier authorities where the difference between their pre-reform and post-reform income is more than 15% of their pre-reform income, and which have council tax levels below the average, the Government will protect 95% of their 2025/26 income (WCC is in this category with five other upper tier local authorities)

- Specific exceptions such as the recovery grant guarantee for authorities in receipt of the recovery grant & real terms protection for fire and rescue authorities

5.11. Whilst these transitional protections are necessary and welcome, in some cases authorities will not have moved to their new funding position by year

three and hence there is a risk of a significant further reduction in grant beyond 2028/29 if this protection is removed.

Core Spending Power

5.12. As one of the authorities in the 95% floor protection, Westminster's core spending power reduces by 5% (£14.7m) in 2026/27 and remains flat in 2027/28 and 2028/29. However, over the period it is assumed by the Government that council tax income to be received by Westminster will increase significantly in the latter two years. This is above the previously assumed 1.4% uplift in the council tax base and 5.0% increase in Band D level of council tax (this significant increase was not signalled in the Policy Statement in November). This is not something the Council requested during the consultation process.

Core Spending Power WCC	**25/26**	**26/27**	**27/28**	**28/29**
	£m	**£m**	**£m**	**£m**
FFA		187.849	153.421	118.530
Floor Protection		11.603	19.031	24.862
FFA after Floors	**218.976**	**199.452**	**172.453**	**143.392**
Change (£m)		-19.52	-27.00	-29.06
Change (%)		-8.92%	-13.54%	-16.85%
Assumed Council Tax Income	**74.641**	**79.484**	**106.484**	**135.544**
Core Spending Power*	**293.617**	**278.936**	**278.936**	**278.936**
Change (£m)		-14.681	0.000	0.000
Change (%)		-5%	0%	0%

*Excludes specific grants

5.13. Westminster's final grant settlement under the Fair Funding review has a target figure of £118.5m, a reduction of £100.4m from 2025/26. Over the next three years there will be a phased reduction of £75.6m.

5.14. In 2028/29 the Council will be receiving floor protection (grant) of £24.9m. It is currently unknown whether this protection funding will continue beyond 2028/29. If removed the Council's funding would reduce by a further £24.9m in 2029/30 or potentially phased over an extended period.

5.15. Alongside the floors, the Government has announced bespoke transitional arrangements for a small number of local authorities. This includes the following:

- The GLA will retain a portion of its retained business rates growth beyond the reset, to reflect the services it provides which are outside of the scope of the fair funding assessment
- The City of London will have 95% of its income protected in 2026/27, but bespoke arrangements will be developed from 2027/28 onwards including through the business rates retention system.

Other specific grants position (25/26 to 26/27)

5.16. The majority of other grant funding received by local authorities have been simplified into four new consolidated grants. These funds will be ringfenced and are as follows:

- **Homelessness, Rough Sleeping and Domestic Abuse** (**£2.4bn nationally, £18.4m WCC in 26/27**) which includes Prevention and Relief and Staffing element of the Homeless Prevention Grant, Rough Sleeping Accommodation Programme, Rough Sleeping prevention and recovery grant & domestic abuse safe accommodation support. All the funding included within this new consolidated grant will form part of CSP. The amount expected for 2026/27 will be a small increase on 2025/26 for rough sleeping but £6.75m of homelessness grant received in 2025/26 has now been rolled into the core FFA above.

- **Children, Families and Youth Grant (£3.1 billion nationally, £4m WCC in 26/27**) - includes Children's Social Care Prevention Grant, Supporting Families, Holiday Activities & Food Programme, Post 16 Pupil Premium Plus Programme & Children's Social Care Reform. All these grants except the Holiday Activities and Food Programme and the Post 16 Pupil Premium Plus Programme will be included within CSP. Whilst the settlement suggests an increase in funding in 26/27, £890k of grants received in 25/26 have been rolled into the FFA above.

- **Public Health Grant (£13.45bn nationally, £42.1m WCC in 26/27**) - Public Health grant will now also include Drug and Alcohol Treatment and Recovery Improvement grant. The Department of Health and Social Care (DHSC) will publish details of the allocations for 2026/27 in early 2026. This will sit outside of CSP. If the amount is confirmed as per that set out in the settlement, in overall terms this will be a l increase for WCC.

- **Crisis and Resilience Fund (£2.5bn nationally, £3.8m WCC in 26/27**) - includes Household Support Fund & Discretionary Housing Payments. This will sit outside of CSP. The settlement suggests a reduction in from grant from £4.3m in 25/26 to £3.8m in 26/27.

5.17. A summary of the amounts due to be received by WCC over the next three years under each of the consolidated grants is shown in the table below.

Consolidated Grant	**2025/26**	**2026/27**	**2027/28**	**2028/29**
	£m	**£m**	**£m**	**£m**
Homelessness, Rough Sleeping and Domestic Abuse Grant	24.4*	18.4	18.6	18.8
Public Health Grant	37.4	42.1	42.7	43.5
Crisis and Resilience Fund	4.3	3.8	3.8	3.5
Children, Families and Youth Grant	2.7*	4.0	4.0	3.6
Total	**68.8**	**68.4**	**69.2**	**69.3**

* £6.75m of HPG grant & £0.89m has been rolled into RSG / FFA.

5.18. There will be a limited number of grants that will be distributed outside of the new consolidated grant arrangements. This includes the Extended Producer Responsibility Grant (EPR) of which WCC is due to receive £4.75m in 2026/27 (similar to the figure in 2025/26).

5.19. Other specific grants that were previously separate have been included in the overall core FFA above. These include social care grant, market sustainability and improvement fund (adults), homelessness temporary accommodation grant, new homes bonus and many other smaller pots.

Council tax

5.20. Increases in CSP assume that income from council tax increases over the three years due to taxbase growth in line with the average annual growth in taxbase between 2022/23 and 2025/26 (equivalent to 1.4% for WCC) and that councils increase council tax by the maximum possible allowable under council tax referendum principles. The core referendum limit remains at up to 3 per cent for London Boroughs with the ability to set an additional 2 per cent adult social care precept, so 5% in total The non-police element of the Greater London Authority (GLA) will have a referendum principle of £5.13.

5.21. For the six authorities noted earlier including Westminster, there will be no referendum limits for 2027/28 and 2028/29 if their Band D council tax levels are lower than average and they have 95% of their income protected. The Government have assumed in their CSP calculations that these authorities will make use of these flexibilities.

Business Rates Retention and Reset

5.22. A package of changes to business rates retention will be implemented in 2026/27. The business rates retention system will be reset, properties have been revalued and new multipliers will be applied. However, in overall terms, there should be no bottom-line impact on authorities in the short term. In 2026/27 the safety net threshold will be increased to 100% of the baseline funding level (i.e. the amount of business rates retained within authorities). This will then reduce to 97% in 2027/28 and revert to its current level of 92.5% in 2028/29 onwards.

5.23. The government will estimate how much each local authority will collect from April 2026 and how much they will retain according to their calculated relative needs and resources. Authorities will be able to keep any business rates growth that they have experienced since the start of the retention arrangements (2013/14).

Overnight/Visitor Levy

5.24. The Government are consulting on giving Mayoral Strategic Authorities in England the power to create an overnight levy. Westminster City Council have been lobbying for this for many years given the significant costs created by visitors.

5.25. Depending on the potential fee setting arrangements if implemented, and if any sharing with the boroughs is agreed, the charge the Council could generate could range between £20m to £80m per annum based on a share of 50% with the Mayor of London (data recently published by Central London Forward (CLF). There is still significant uncertainty on the levy in terms of fee level, sharing arrangements and timing of when it might be implemented.

6. Sector Wide Cost Pressures and Issues

Service Pressures

6.1. Nationally local authorities continue to face significant financial pressures driven primarily by rising demand, increasing complexity in service delivery and sustained inflationary pressures. Adults and Children's social care remains the most significant area of pressure with increasing demand demographic changes, longer life expectancy, and more complex health and care needs placing sustained demand on services. These pressures are compounded by workforce shortages and escalating provider fees, which make it harder to maintain quality and capacity.

6.2. Alongside social care, housing and homelessness costs have continued to increase, particularly in areas with acute affordability issues, while temporary accommodation demand continues to rise. At the same time, authorities are grappling with the impact of high inflation on core services, utilities, and contractual obligations. Together, these factors create a highly challenging environment for local authorities, requiring difficult decisions to balance budgets while meeting statutory obligations.

Wider Economic Impacts

6.3. In addition, the economic environment in which this budget is set remains highly challenging. Inflation, while easing from its peak, remains above historic norms, driving up costs across goods, services, and contractual obligations. The Office of Budget Responsibility (OBR) now expects inflation won't return the Bank of England 2% target until late 2026 / early 2027, one year later than previously forecast last March. At the same time, elevated interest rates increase the cost of local authority borrowing over the period of their capital programmes impacting future investment plans.

6.4. Economic uncertainty and slower growth have contributed to rising demand for local services, as households face ongoing cost of living pressures. This has led to greater reliance on housing support, welfare services, and social care, adding complexity and financial strain to local authority budget planning. Against this backdrop, councils must continue to adopt a prudent and resilient approach to ensure financial stability while protecting essential services for residents.

7. Local Service Pressures

2025/26 Forecast Outturn Position

7.1. The budget monitoring position at the end of December is forecasting an overspend of £4.6m against the approved net budget. This is largely the impact of significant temporary accommodation pressures, inflationary pressures and increased costs within Children's Services.

7.2. The estimated ongoing impacts of these variations have been reviewed as part of building the budget for next year. Work is continuing to review the current position and consider actions to reduce the overspend. The most significant area of overspend is in relation to temporary accommodation and whilst there are mitigation plans in place to reduce cost pressures for 26/27 this position will need close monitoring.

New Pressures for 2026/27 to 2028/29

7.3. New service pressures total £13.533m over the next three years. This is £10.533m more than the £3m annual allowance for service pressures reported as part of the May budget position. Service pressures arise from a combination of increased demand, reduced income levels in certain commercial income streams and external factors affecting costs. These pressures are set out in full in Appendix 5. The key items are:

- Homelessness and temporary accommodation remain a significant pressure across the Council. In 2025/26 there is a £13.4m forecast overspend driven by spend on Temporary Accommodation (TA). The increasing demand and cost of TA remains the most significant pressure facing the Council with the number of households rising at a time of reduced demand and increased cost of supply. There are currently 4,488 properties in use for TA. Mitigation measures including a focus on prevention and the acquisition of properties for use in TA is forecast to reduce that pressure to £5m in 2026/27. Additional budget provision has been allowed for at that level.

- Adults Social Care is forecasting an increased pressure of £4.3m relating to changing demographics, rising demand in case numbers, increasing complexity and unit costs.

Other Corporate Changes

7.4. Several corporate pressures and variations have been recognised in the budget process during this year. These are mainly:

- **Inflation** - provision for estimated contract and pay inflation of £21.3m in 2026/27, this is £12.3m higher than the amount previously built in as part of the May position given that inflation is due to remain higher for longer. Very high inflation levels have been seen over recent years and whilst the current OBR forecasts suggest more stable inflation levels going forward, the Council has experienced above inflation increases linked to the London Living Wage rate, and the negotiated pay award settlements.

Current CPI at December 2025 is 3.4% and the OBR are forecasting this to reduce to 2.6% for 2026. A provision for inflation has been made following a review of key service contracts; the Council will continue to review different indices and negotiate appropriate inflationary increases in contracts rather than just apply the standard CPI inflationary index across the board. The London Living Wage has increased by 6.9% and will be applied where necessary to relevant contractual spend from April 2026.

Provision for next year's Local Government pay award has been made at 2.6% which follows the latest projections for average inflationary increases for 2026/27.

- **Reduction in Interest Earnings** - there was already an assumed reduction in interest earnings of £6m in 2026/27 within the previous medium term financial plan. The updated MTFP includes a further reduction in interest earnings of £6m in 27/28 and in 28/29. This reflects the expected reduction in inflation over the period and the likely impact that this will have on interest rates.

- **Reduced Employers Pension Contributions** - there is an expectation of a reduction in the employer's pension contribution rate from 16.8% to 9.3% of pay following the triennial actuarial review of the pension fund (to be ratified by the Pension Committee in March). The Westminster element of the fund has a significant surplus arising from good performance of investments over the last three years. This is expected to reduce staffing costs by £8m per annum from 26/27 onwards. This will increase to 12.3% in 2028/29. Savings will also accrue to the HRA.

- **Other changes** include increased cost of the Concessionary Fares scheme (£1.3m), PCN price increase (£4.6m), Emissions Based Trading Scheme (£1.1m in 27/28) and A2D rent free period ending (£4.1m 27/28)

<u>Fairer Westminster Policy Investments</u>

7.5. The 2026/27 budget includes continued policy investment to help achieve Fairer Westminster objectives. New **investments** of £3.113m are proposed for 2026/27, of which £1.970m have been identified as one off or for a fixed period and have therefore been funded from earmarked reserves. The remainder will be funded from the base budget.

7.6. Investments are focussed on several initiatives or programmes across the Council. This includes temporary accommodation, housing solutions, PDHU programme, Adults Social Care, City Plan and Cost of Living support initiatives.

7.7. Details of investments can be found in Appendix 5. The key areas include:

- **Temporary accommodation transformation programme** (£0.550m in 26/27 reducing to £0.450m in 2027/28 and £0.2m in 28/29) - providing further resource to support the TA transformation programme. The final year of the proposed investment is 2028/29.

- **Housing Solutions Service Insourcing** (£0.2m one-off investment in 26/27) **-** support to complete phase 2 of the programme of recommissioning and transformation of insourced services including implementation of a restructure, through to a new delivery model in 26/27.

- **PDHU programme** (£0.3m from 26/27 onwards) -providing additional staffing support for the delivery of the PDHU programme.

- **Investment in mental health beds following the closure of Gordon Hospital** (£0.8m from 26/27 onwards) -the Council is investing £800k as part of a cost-share arrangement with NHS partners for 10 mental health beds as a response to the closure of Gordon Hospital. This cost will be shared equally between Adult Social Care and Housing.

- **City Plan** (£0.2m one off investment in 26/27) - support for costs associated with developing the City Plan (statutory Local Plan)

- **Cost of Living Support** (£1m one off investment in 2026/27) - continued support for cost of living initiatives during 2026/27, which will be remodelled with the new Crisis and Resilience Fund and guidance.

8. Medium Term Financial Position

8.1. The estimated budget gap in the Medium-Term Financial Plan as reported to Cabinet in May 2025 was £68m from 2026/27 to 2028/29. The 2026/27 gap was reported at that time as £19.6m.

8.2. Work has continued through this financial year to prepare savings proposals, manage the various cost pressures and inflation as above, and to prepare investment proposals to inform the medium-term financial plans. In November the government's Autumn Budget was published and then the policy statement, followed by the announcement of the provisional local government finance settlement on 17 December 2025. Notification of the final settlement was received on 9 February 2026.

8.3. This report proposes a balanced net revenue budget which totals £282.666m for 2026/27. The starting net budget has been adjusted in 2025/26, and this is due to a number of specific grants being rolled into the Fair Funding Allocation (core grant) as shown below:

Specific Grants Rolled into FFA	2026/27 £m
Social Care Grant	41.593
Local Authority Better Care Grant	21.773
Market Sustainability and Improvement Fund	5.789
Employer National Insurance Contributions Grant	2.742
New Homes Bonus	0.996
TA element of former HPG	6.752
Other Grants	0.969
Total	**80.614**

8.4. The balanced budget in 2026/27 has been achieved through a 2% increase in council tax, planned new savings of £32m and use of reserves of £19.68m. The net revenue budget is detailed in Appendix 10. There is a forecast budget gap of £87.8m over the following two years. The changes made to the budget since May are shown in the table overleaf.

Changes Since May 2025	2026/27 over 2025/26	2027/28 over 2026/27	2028/29 over 2027/28	Total
	£m	£m	£m	£m
Budget Gap - May 2025	**19.583**	**24.214**	**24.242**	**68.039**
Service Specific Items:				
New Savings	(29.223)	(9.345)	(15.918)	**(54.486)**
Transformation Savings	(3.000)	(9.000)	(18.000)	**(30.000)**
Existing Savings Adjustments	2.420	(1.170)	(0.110)	**1.140**
TA Pressures	5.000	(5.000)	(10.000)	**(10.000)**
Adults Social Care Pressures	4.300	3.000	3.000	**10.300**
Other New Pressures	0.925	0.093	(0.027)	**0.991**
Fairer Westminster Investments	2.113	(1.520)	(0.250)	**0.343**
Transformation Investment	2.500	(1.500)	(1.000)	**0.000**
Cost of Living	1.000	0.000	0.000	**1.000**
Subtotal	**(13.965)**	**(24.443)**	**(42.305)**	**(80.713)**
Funding:				
Fair Funding Changes	19.211	20.880	22.962	**63.053**
Other Grant Changes	(2.385)	0.000	0.000	**(2.385)**
Council Tax increase 2.0% in 2026/27	(1.632)	0.000	0.000	**(1.632)**
Other Taxbase Changes	(0.257)	(0.079)	(0.079)	**(0.415)**
Council Tax Collection Fund Net Surplus	(2.786)	2.786	0.000	**0.000**
Sub total	**12.151**	**23.586**	**22.882**	**58.620**
Corporate Changes:				
Additional Inflation	12.360	5.238	5.690	**23.288**
Reduction in Interest Earnings	0.000	6.000	6.000	**12.000**
Reduced Employer Pension Contributions	(8.000)	0.000	4.000	**(4.000)**
Other Changes incl. capital financing	3.277	2.000	5.500	**10.777**
Subtotal	**7.637**	**13.238**	**21.190**	**42.065**
Budget Gap Before Use of reserves	**25.406**	**36.595**	**26.009**	**88.011**
Use of Reserves to fund specific items	(5.726)	4.276	1.250	**(0.200)**
Use of Reserves to balance the Budget	(19.680)	19.680	0.000	**0.000**
Budget Gap	**0.000**	**60.551**	**27.259**	**87.811**

8.5. The above position shows a significant gap in the latter two years. No increases in council tax have been assumed for 2027/28 and 2028/29. The government have lifted the council tax referendum limits for these latter two years for Westminster.

8.6. The further table below summarises the overall movement in the net budget for 2026/27 (including changes made up to and after May 2025). Further details are shown at Appendix 10.

	2026/27	2027/28	2028/29
	£m	£m	£m
General Fund Budget b/fwd.	**213.426**	**282.666**	**256.499**
Adjustment for Grants Rolled into FFA	**80.614**	**0.000**	**0.000**
Restated General Fund Budget b/fwd.	**294.040**	**282.666**	**256.499**
Budget Changes			
Inflation (pay and non-pay)	21.318	14.259	14.710
Reduced Interest Earnings	6.000	6.000	6.000
Corporate Changes	(1.457)	11.853	12.990
TA Pressures	5.000	(5.000)	(10.000)
Adults Social Care Pressures	4.300	3.000	3.000
Other Pressures	6.323	3.851	6.355
Fairer Westminster & Cost of Living Investments	2.112	(2.909)	(0.250)
Transformation Investment	2.500	(1.500)	(1.000)
New & Previously Agreed Savings	(43.567)	(23.151)	(34.028)
Further Savings needed to close the budget gap	0.000	(60.551)	(27.259)
Use of Reserves & Balances	(17.271)	25.150	1.250
Council Tax Collection Fund Net Surplus	(3.033)	2.786	0.000
Grant Funding Changes	6.401	0.046	0.012
Subtotal Changes	**(11.374)**	**(26.167)**	**(28.220)**
Net Budget c/f	**282.666**	**256.499**	**228.279**
Funded via:			
Fair Funding Allocation incl. Transitional Protection Grant	(199.452)	(172.453)	(143.392)
Council Tax	(83.214)	(84.046)	(84.887)
Total Funding	**(282.666)**	**(256.499)**	**(228.279)**

9. Savings

Delivery of 2025/26 Savings

9.1. The council has a strong track record of delivering significant savings to balance the budget through a range of measures including cost containment, streamlining processes, increased income and contract renegotiation. In 2024/25 a total of £18.4m savings were achieved against a target of £20.1m

and so far in 2025/26 the Council is on track to achieve £31.4m (98%) of its planned savings.

9.2. Despite this, the need to close the budget gap continues to grow. The savings that are still achievable tend to be more complex, often involving service redesign, transformation programmes, and long-term investment in technology or prevention strategies. These approaches require time, upfront resources, and careful management to avoid adverse impacts on service quality. As a result, delivering the next phase of savings will be more challenging and carries greater risk, as financial pressures continue to intensify.

Proposed Savings for 2026/27 to 2028/29 (existing plans & newly proposed)

9.3. New savings of £59.1m are proposed over the planning period to 2026/27 to 2028/29. Each proposal is listed in Appendix 4. In addition, £30m of transformation savings are planned to be achieved over the same period. Most of the new saving proposals fall in 2026/27. Further savings will require identification as the medium-term planning period progresses to close the £87.8m budget gap.

9.4. The table below summarises the total savings over the MTFP period:

	2026/27 £m	2027/28 £m	2028/29 £m	Total £m
Proposed New Savings*	33.823	9.345	15.918	59.086
Agreed Existing Savings	12.744	4.806	0.110	17.660
Proposed Transformation Savings	3.000	9.000	18.000	30.000
Total Savings	**49.567**	**23.151**	**34.028**	**106.746**

*Includes saving of £6m in 2026/27 for Second Homes Premium

9.5. Savings from cost reductions have been identified and come from a variety of sources, for example:

- procurement efficiencies as contracts come up for renewal.
- efficiency savings through service model reviews and demand prevention.
- reduced revenue costs through asset renewal, for example, new electric waste vehicles and electrification of cleansing service.
- digital transformation savings through improved systems.

9.6. Fees and charges have been reviewed and have largely increased in line with the CPI to ensure that cost recovery is maintained on the delivery of those services. Cabinet agreed all proposed fees and charges for 2026/27 in December 2025. Other examples where income will support the 2026/27 budget position are:

- **improved commercial waste Income** – higher levels of income than budgeted in 2025/26 on the basis of trends in activity and proactive

ongoing sales and marketing improving market share. It is forecast that this can be maintained going forward.

- **additional parking income** - higher level of income from the mayor's increase in the penalty charge notice (PCN's) charges introduced in April 2025 together with a higher level of contraventions which has resulted in increased level of PCN's being issued.

- **additional rental income from the commercial property portfolio** - the London commercial retail rental market has been performing relatively consistently well in recent years, and opinion within the sector is that it is in an upturn phase. Accordingly, a 2% uplift in income has been assumed as a prudent budgeting allocation for increased investment property income from the City Council's commercial property portfolio.

Transformation Programme Savings

9.7. The Council is embarking upon a wide scale organisational transformation – Westminster 2030 – Fit for the Future: A Council Designed for the Future. Recognising the significant budget gap over the MTFP the programme will deliver a minimum of £30m in recurring baseline savings by the end of 2028/29, supported by £4m of one-off initial investment proposed in this report to deliver the programme It will deliver over six key objectives:

- Modernise Services and Workforce by building an agile, productive organisation with clear roles, streamlined processes, and empowered staff

- Transform Customer and Resident Experience by creating a seamless, inclusive, and accessible experience for residents, businesses, and visitors, improving first-time resolution and expanding digital self-service options while maintaining tailored support

- Enable Early Intervention and Prevention by shifting focus upstream to prevent escalation of need, reduce avoidable demand, and improve long-term outcomes through better data use, partnerships, and service redesign

- Embed Digital and Data Innovation by investing in automation, analytics, and evidence-based decision-making

- Optimise Council Assets by consolidating underused buildings, co-locating services, improving energy efficiency, and generating income through leasing and partnerships

- Strengthen Financial Resilience by delivering sustainable efficiencies and reinvesting savings into priorities that matter most to our communities.

9.8. This transformation builds on strong foundations from previous change work, ensuring continuity and accelerating delivery. A series of diagnostic analysis is currently being commissioned. Early progress includes improvements in digital innovation, asset use, business support, contracts, and capital planning. By

leveraging these insights, the programme will maximise benefits and deliver sustainable change.

10. Dedicated Schools Grant (DSG)

10.1. The table below shows the provisional 2026/27 DSG funding allocations for Westminster. The allocation (before the deductions for payments to academies) has increased by £1.439m (0.7%) from 2025/26 to £210.162m including funding for the continuing rollout of early years entitlements for working families in receipt of benefits.

Comparison of 2026/27 and 2025/26 DSG block allocations

Block	2026/27	2025/26	Change	Change
	£m	£m	£m	%
Schools - including grants added to 2025/26 baseline (SBSG and NICs grant) *	139.144	141.691	(2.547)	(1.80%)
High Needs including grants added to DSG - CSBG etc **	46.775	46.775	0	0%
Central School Services	0.936	0.954	(0.018)	(1.89%)
Early Years ***	23.307	19.303	4.004	20.74%
Total	**210.162**	208.723	1.439	**0.69%**

*Allocation before deduction for academies and including the School Budget Support Grant (SBSG) and National Insurance Contributions (NICs) Grant in 2025/26, which are included in the Schools Block from 2026/27.
**Allocation before deduction for academies high needs places. The provisional High Needs allocation will be updated in March 2026
***Early Years allocation is provisional currently for both years and includes funding for the continuing rollout of new entitlements.

10.2. The schools block allocation is mainly driven by pupil numbers which have reduced by 636 to 15,750 and the block has increased by 2.5% per pupil. Schools with falling rolls continue to be in a challenging budget position and the number and size of schools in a deficit position is increasing. Schools in deficit are required to set a deficit recovery plan over three years and of the 18 (out of 34 maintained schools) forecasting to be in deficit at 31 March 2026, two are unable to produce deficit recovery plans, nine are still working on their deficit recovery plans and three plans are under review. The net school balances are forecast to be £0.890m credit which is separate to the cumulative DSG reserve. If the net school balances move to deficit this cannot be covered by the cumulative DSG reserve and would have to be offset with General Fund reserves.

10.3. The high needs block funding is unchanged from 2025/26. The publication of the government's Schools white paper setting out reforms for Special Educational Needs and Disabilities (SEND) is awaited and the 2026/27 flat cash funding allocation is likely to lead to significant in year pressure on Westminster's high needs block.

10.4. The net increase early years block funding mainly relates to the rollout of new entitlements for working families in receipt of benefit and increases in hourly funding rates. The funding for 2025/26 and 2026/27 will be updated to reflect later early years census data. Most of the funding is passed to providers both in maintained schools and private, voluntary and independent settings. The DfE have increased the hourly rate for 3 and 4 year olds and the hourly rates paid to providers will increase from £7.67 to £8.08 (+5.3% hourly rate). The hourly funding rates for eligible 2 year olds has increased from £10.87 to £11.14 (+2.5%). Children's Services retains a 3% element of early years funding to support the coordination of central services; this was previously 4%.

VFM Financial Sustainability - DSG

10.5. The Government recognise the current SEND system is not working for children or families, or for local authorities who continue to face significant financial pressures. The Department for Education has set out the principles for a reformed SEND system which meets needs earlier, before challenges escalate, and will set out details of these plans in the upcoming Schools White Paper. The Government announced on 9 February that it will provide High Needs Stability Grant Funding for 90% of Councils' deficits relating to special educational needs and disabilities (SEND) which is estimated to be worth £5bn nationally. The proposal covers deficits accrued to the end of the 2025/26 financial year. Westminster is forecasting to have a £2.5m DSG surplus at 31 March 2026 and therefore will not be eligible for any of this grant. SEND expenditure is however increasing each year due to growth in pupils with Education Health and Care (EHC) plans and increasing placement costs.

10.6. The DSG reserve balance was £3.463m at the end of March 2025. Westminster Schools Forum review the DSG forecast position at each meeting as well as impacts on medium term planning. The DSG has an in-year forecast overspend in 2025/26 of £0.920m (which will reduce the cumulative surplus), the majority of which was agreed by Schools Forum as use of part of the reserve at the meeting on 23 June 2025. The Council's annual SEN Commissioning Plan identifies the SEN provision needed over the medium term which is taken account of in the capital expenditure plans for SEN provision to reduce the risk of the high needs block and DSG moving into deficit. The high needs block review group made up of headteacher representatives on the Schools Forum provides an opportunity for officers and schools/settings to consider the ongoing use of High Needs Block funding and any new developments as well as ensuring value for money. Overall, the DSG is expected to remain in a surplus position over the next two years however the impact of the government's SEND reforms will need to be assessed.

11. Pension Fund

11.1. The City of Westminster Pension Fund includes the City Council's pension obligations as an employer as well as those for several other admitted and scheduled bodies, including academies.

Interim Valuation

11.2. The interim valuation of the Pension Fund as of 30 September 2025 was £2.259bn. The Fund returned 9.40% in the year to 30 September, under-performing its benchmark by 2.50% net of fees, this was largely due to the Fund's active equity mandates which underperformed the market.

11.3. As per the Pensions and Investment Research Consultants (PIRC) Local Authority Fund Statistics for 2024/25, the City of Westminster was ranked in the upper quartile (ranked 10th out of 86 funds) of fund performance, returning 4.9% in the year to 31 March 2025, compared to the average of 3.4%. The high diversification of assets protected against volatility within global markets.

11.4. The previous formal triennial valuation of the Pension Fund was completed by the Council's actuary, Hymans Robertson, as at 31 March 2022. The actuarial report values the future liabilities of the Pension Fund and set the employer's contribution rate for the three years from 2023/24 to 2025/26. The whole fund's funding level rose to 128% from the 99% level in 2019, which is broadly due to the good investment returns over the period and the Council's additional deficit recovery payments. The whole fund represents various employers.

11.5. The next actuarial valuation as at 31 March 2025, is currently in its closing stages with the final results currently indicating an overall funding level of 140%. The Westminster Council element of this funding level is 121% The funding level has increased from the 2022 valuation due to an improved discount rate and strong investment performance. This will enable the Council to reduce its employer contribution to 9.3% in 2026/27 and 2027/28, and 12.8% in 2028/29.

Pension Fund Governance

11.6. The Pension Fund Committee acts as trustees for the whole Pension Fund and takes decisions on behalf of all employers and pensioners. The Local Pension Board continues to operate alongside the Pension Fund Committee as a scrutiny function and reports on its activities to the Pension Fund Committee and Full Council. The Board, comprised of both employer and employee representatives, is required to assist the Council to ensure compliance with the regulations and other legislation relating to the management of the Pension Fund.

11.7. The Pension Schemes Bill, introduced in Parliament in June 2025 and progressing toward Royal Assent, is a major overhaul of UK pensions aimed at simplifying pension saving, improving governance, consolidating smaller schemes, and driving better investment outcomes for savers. It includes provisions affecting defined benefit and defined contribution schemes and has sparked extensive debate and amendments as it works its way through the parliament.

11.8. In relation to the LGPS, the Bill provides the legislative backbone for significant structural reforms proposed in the earlier Fit for the Future consultation, including mandatory asset pooling, enhanced governance standards, and more coordinated investment strategies across LGPS funds. Detailed investment implementation will largely be handled through secondary regulations being consulted on now, with enactment expected from 1 April 2026 once the Bill is

given Royal Assent. LGPS administering authorities are being urged to engage early with their investment pools to shape future arrangements.

11.9. The Pension Fund has been working very closely with the London Collective Investment Vehicle (LCIV) in preparation for mandatory pooling of its investments. The Council is both a shareholder and a client of the LCIV. The Pension Fund has therefore been working very closely with the LCIV in preparation for mandatory pooling of its investments. As at 31 December 2025, the LCIV had directly managed assets in LCIV products totalling £21.4bn and other pooled solutions totalling £17.2bn.

11.10. The following changes to the fund's asset allocation have been undertaken during the year:

• Liquidating the circa £400m LCIV Global Alpha Growth Fund (Paris Aligned), managed by Baillie Gifford as a strategic move away from active managed fund and into passive management. The replacement fund is a world MSCI index tracking fund managed by BlackRock. This transition is now completed.

• Liquidating the circa £400m LCIV Global Quality Fund, managed by Morgan Stanley as an additional move into passive management. As at 31 December 2025 these assets have yet to be transitioned.

11.11. The Fund's illiquid mandates, which account for circa 30% of the portfolio, continued to drawdown during the year and repay capital for those funds closer to maturity.

11.12. The City of Westminster Pension Fund was successful in retaining its accreditation to the UK Stewardship Code. The UK Stewardship Code sets high stewardship standards for asset owners and asset managers, and for service providers that support them. Following the imminent mandatory pooling it is highly unlikely that the Pension Fund will have the autonomy required to remain as a signatory to the Code.

12. Financial Resilience

12.1. The UK's economic outlook remains uncertain over the medium-term with several risks and uncertainties over inflation, interest rates and economic growth. Whilst local authorities have more certainty over government funding through the provision of a three-year indicative multiyear finance settlement this forms only a small part of the Council's financial landscape and councils face significant demand pressures for key services such as temporary accommodation and adults social care, whilst implementing council wide savings initiatives to balance the budget.

12.2. The Council will continue to use robust and regular budget and performance monitoring to identify emerging pressures and the financial impact on budgets. Retaining reserves is a key mechanism to help mitigate against those risks impacting on the Council's front-line services. The use of reserves in the 2026/27 budget is considered justified as an exception, because of the late

impact of the funding review and the fact that longer term actions to stabilise the budget will not have had the time to make a significant impact.

Planning Assumptions

12.3. The 2026/27 budget and the wider medium term financial plan include forecasts costs and income based on a range of key assumptions and expectations of future events that are otherwise uncertain. Estimates are based on historical trends and experience, current data and other relevant factors. The key assumptions that have been used in developing the medium-term financial projections are explained below.

Budget Area	**Key Assumptions**
Contract Inflation	Contract spend has been split into LLW applicable and Non LLW applicable. For 2026/27 the agreed LLW increase of 6.9% has been applied to all LLW applicable contract spend. A general rate of inflation of 2.6% has been assumed across all non LLW contract expenditure. For the remaining two years, 2027/28 and 2028/29, LLW has been assumed at 5% and CPI at 2% which is in line with OBR forecasts.
Employee Costs	A pay increase in line with CPI has been assumed for the three years of the MTFP. This is assumed to be 2.6% in 2026/27 and 2% for 2027/28 and 2028/29. Employer Pension Contributions - the Pension fund is revalued every three years. The last valuation was undertaken as at 31 March 2025 whereby employer contributions will reduce from 16.8% to 9.3% of pay in 26/27 and 27/28 and then move to 12.8% in 2028/29. This reduction will be implemented from 2026/27 onwards.
Fees & Charges	Fees and Charges are assumed to increase by a minimum of CPI over the three-year period. Specific proposals for Fees and Charges increases for 2026/27 were agreed by Cabinet in December 2025 to be implemented from 1 April 2026. Estimated additional income from agreed inflationary increases to fees and charges in 2026/27 is included within service savings proposals. For 2027/28 and 2028/29, assumed additional income of £2.5m per annum is included within the MTFP.
Council Tax Increases	In 2026/27 council tax is assumed to rise by 2%. As of yet, no council tax increases have been built into the 2027/28 and 2028/29. This will be subject to separate consideration during budget setting for those years.
Council Tax Base	The Council's tax base represents the estimated number of Band D equivalent chargeable dwellings for the year. The Council Tax base for 2026/27 has been updated in line with that which was reported to

	Cabinet in December 2025. For 2027/28 and 2028/29 a 1% increase in the tax base has been assumed.
Interest Rates	The latest PWLB borrowing rates have been used to estimate the cost of financing the Council's capital programme over the next 15 years. For 2026/27 onwards an additional £0.5m per annum has been included within annual revenue budgets to cover this latest forecast. Interest earnings have assumed to reduce over the next three years in line with the OBR's forecast reduction in CPI and therefore interest rates too.

Risks and Uncertainties

12.4. Financial forecasts are monitored as part of regular budget monitoring to ensure that risks are identified in a timely manner and mitigation action is taken. The key risks in the medium-term financial plan have been identified and assessed as:

Budget Area	**Potential Full Year Impact of 1% movement (£m)**
Contract Inflation	+/-£3.0m
Pay Inflation	+/-£1.9m
Fees & Charges	+/-£1.7m
Council Tax Base	+/- £0.8m
Interest Rates	+/-£6.3m (interest earnings on cash balances); +/-£5.4m (max exposure on interest payable on forecast borrowing by 2028/29)

Key Financial Risks

12.5. The key financial risks that may affect the delivery of the MTFP are outlined in the table below together with relevant mitigation actions that may be necessary.

Financial Risk	**Likelihood**	**Impact**	**Mitigation**
Fair Funding Review – grant allocation and meeting MTFP future budget gaps	High	High	As a result of the Fair Funding Review Westminster's grant allocation has been significantly reduced, £75m over the next three years. The Council has significant gaps in future years even after a very high level of proposed savings. The Council will need to review its ability to deliver more savings and balance the potential use the council tax raising freedoms it has been given, with reserves being able to be used to smooth things for a limited time.

Interest & Inflation	Medium	Medium	Assumptions used with budgets for both interest rates and inflation are based on OBR forecasts and PWLB forecasts provided by the Council's treasury advisors. Whilst higher than anticipated inflation may increase the cost of pay and contractual costs, this may be partially offset by higher income from increased interest earnings and increased fees and charges.
Non delivery of Planned Savings	Low	Medium	The deliverability of savings proposals is considered carefully and challenged during the budget setting process. The achievement of agreed savings is tracked and reported quarterly to Audit & Performance Committee as part of Quarterly budget monitoring. Any savings that are not on track to be delivered are discussed at this meeting along with mitigating actions.
Increasing demand for Temporary Accommodation and/or Adults Social Care above budgeted	Medium	Medium	Forecast demand for TA in 26/27 has been based on current client data, local population data historical trends and the supply strategy. Any changes in demand will be reported as part of the Quarterly Monitoring report to Audit & Performance Committee along with mitigating actions. If TA demand were to increase by 10% it could cost the Council a further £5-8m.
Unexpected events & emergencies	Low	High	The Council maintains general fund balances of at least 10% of net turnover and a corporate risk reserve to manage the financial impact of unexpected events.
Downturn in economic activity and income	Medium	Medium	The Council is dependent on several key income streams and so a prudent view of future forecasts is built into the MTFP. There is a risk that income levels could reduce over the period, so this is carefully monitored.
Government funding -cliff edge in 2029/30	Medium	High	Whilst the multi-year finance settlement has improved certainly over government funding, there remains a significant risk of further funding loss beyond 2028/29 if protection is removed. The MTFP will be updated annually to include any further information about damping arrangements beyond 2028/29.
Fees & Charges – Parking Income	Medium	Medium	Increases in parking income have been forecast in the MTFP, however future income

			could be impacted by several external factors such as increases to the congestion charge and behavioural changes. Therefore, prudent income assumptions have been made which will be reviewed and reported as part of the Quarterly Monitoring report. Levels of PCN issue have been high recently so a 5% prudence assumption has been included.
Government regulations that lead to additional costs e.g. BSA	Medium	Medium	There is usually a transition period to implement new policies or quality standards which will give the Council time to understand requirements and costs and feed this into future financial planning.

Reserves Policy

12.6. A key financial tool for the Council to manage the risks set out above is reserves - an important part of financial planning. They are held for two purposes: to mitigate risks or to invest in the Council's priorities.

12.7. Local authorities hold two categories of reserves, usable and unusable:

- *Usable reserves* are defined as those that the Council could utilise to fund capital or revenue expenditure. Some of these reserves could be applied generally but others will have stipulations attached on their use, and

- *Unusable reserves* hold unrealised gains or losses for assets not yet disposed of and accounting adjustments, which are required by statute. These reserves cannot be used to fund capital or revenue expenditure.

12.8. The Council's usable reserves can be grouped into the following sub-categories:

- *General Reserves* – working balances held to ensure long term solvency and to mitigate risks e.g. the General Fund balance and the Housing Revenue Account balance

- *Earmarked Reserves* – to fund specific projects or investments, or to build up funds for known risks or contingencies, e.g. the capital financing reserve or the insurance reserve

- *Ring-fenced Reserves* – carried forward balances or grant funding which have certain conditions or restrictions attached to them preventing their general use by the Council, e.g. schools' balances, public health grant or homeless prevention grant

- *Capital Reserves* – amounts held to finance capital expenditure, e.g. receipts from asset disposals and capital grants.

General Reserves

12.9. In line with other Local Authorities, the Council holds a general reserve on its balance sheet. The balance of this reserve as at 31 March 2026 is forecast to be £54.6m. The Council holds this general reserve to:

- Comply with the law
- Provide funds for emergencies or other unexpected requirements for funds
- Mitigate against risks faced in day to day operations
- Provide a cash balance to insulate the council from the need to borrow in the short term due to uneven cashflows.

Earmarked Reserves

12.10. As at 1 April 2026, Westminster City Council's earmarked reserves are forecast to total £264m. These reserves are held for specific purposes, including managing business rates volatility, funding capital investment, and supporting statutory ringfenced services such as Public Health and the Dedicated Schools Grant (DSG). The forecast balances by reserve category are shown below.

Reserve Category	Opening Balances 26/27	Opening Balances 27/28	Opening Balances 28/29
	£m	£m	£m
Business Rates Risk & Capital Financing Reserve	122.487	112.258	86.854
Ringfenced	43.244	39.691	37.489
Unringfenced general reserves	98.591	80.953	79.421
Total	264.322	232.902	203.764

12.11. These figures reflect the Council's approach to maintaining significant risk-based reserves, particularly in relation to business rates volatility, which Westminster is especially exposed to due to the size of its commercial taxbase. This aligns with commentary in Westminster's Value for Money Report, which describe reserves as "robust and sufficient to absorb in-year pressures such as increased demand, inflationary costs, or reductions in income or funding."

12.12. The medium-term financial plan anticipates £88m of reserve use over the three-year period, reducing total earmarked reserves from £264m to £176m, a fall of 33%. The components of reserve use are set out below.

	26/27	27/28	28/29
	£m	£m	£m
Opening Earmarked Reserves	264.322	232.902	203.764
Application of Reserves			
-FW Investments	(3.632)	0.000	0.000
-Business Rates Risk Reserve Drawdown	15.174	0.000	0.000
-Capital financing	(25.403)	(25.403)	(25.403)
-Transformation Programme	(2.500)	(1.000)	0.000
-Property Drawdown	(1.400)	(0.200)	0.000
-Digital	(0.975)	(0.600)	(0.600)
-Balance budget in 26/27	(9.840)	0.000	0.000
-Other	(2.844)	(1.934)	(1.588)
Total use of reserves	(31.420)	(29.137)	(27.591)
Closing Reserves	232.902	203.764	176.173

12.13. The planned use of reserves is consistent with the pressures described in the Council's recent financial monitoring and within this report, where:

- capital financing costs continuing to increase due to a large, long-term investment programme,
- social care and temporary accommodation continue to drive recurrent pressure on the General Fund.
- drawdowns have been required as part of the planned used of reserves for one off items and projects.

12.14. Of the remaining balance of £176m in 2028/29, approximately £78m relate to unringfenced earmarked reserves. Within these risk reserves we have allowed a specific provision for any potential school deficits that may arise during the MTFP period.

<u>Westminster's reserves in a National Context</u>

12.15. Evidence from the National Audit Office (NAO) shows there has been pressure within the sector on the use of reserves to balance budgets. The mismatch between demand pressures and funding has led to reserves reducing at an accelerated rate and has been a contributing factor to 42 Councils requiring Exception Financial Support (EFS) in 2024/25.

12.16. CIPFA's most recent guidance on reserves emphasises that:

- reserves should not be used to fund ongoing expenditure except as part of a time limited, credible medium-term strategy.
- Councils must maintain sufficient reserves to absorb major financial shocks, including demand spikes, funding volatility and slippage in savings delivery.
- the Section 151 Officer must advise on the adequacy of reserves annually, in line with statutory requirements under the Local Government Act 2003.

12.17. Westminster's strategy of using reserves to manage multi-year pressures while maintaining high reserve levels relative to its Core Spending Power is consistent with these principles.

12.18. While Westminster's reserve levels remain high compared with other authorities (partly due to substantial capital and business rates risk reserves), the expected level of depletion over the next three years highlights several sustainability risks if reserves were to be used for day-to-day expenditure.

12.19. The use of earmarked and general reserves can support short and medium-term stability but cannot form a permanent solution to structural funding gaps. This principle is strongly reinforced by both CIPFA and the National Audit Office.

12.20. Westminster's reserve strategy remains prudent because:

- the Council plans to maintain high levels of usable reserves, at a significantly higher proportion of Core Spending Power than the national average
- reserve uses are aligned with managing demand risks, absorbing inflation, and smoothing expenditure linked to the capital programme.

12.21. The position the Council finds itself in, as one of the authorities with the biggest reduction in grant funding across the country means that the ability to use reserves over the medium term will be crucial to being able to introduce significant change to reduce net spending in a carefully planned way. It is clear that one-off use of reserves will not be able to solve the financial challenge faced by the Council going forward.

Balance Sheet Analysis

12.22. See Appendix 11 for a detailed analysis of the Council's assets and liabilities as part of an independent balance sheet review.

Section Statement and General Reserves Level

12.23. As part of S25 of the Local Government Act 2003 the S151 officer is required to report on the adequacy of reserves as well as the robustness of the

estimates used to compile the budget. This formal statement is included at Appendix 8.

12.24. In summary, The Chief Financial Officer concludes that reserves levels are adequate and that the estimates used to set the 2026/27 budget are robust.

12.25. However, for the 2027/28 financial year onwards there is a significant financial challenge that Members will need to consider plans for during this coming year. This will need to include substantial further savings in spending or raising of additional income from all types of sources that may be available.

13. Council Tax, Business Rates, Levies and Precepts

Council Tax

13.1. The council tax base (the number of Band D equivalent properties estimated to be billable for the year 2026/27) was considered by Cabinet in December 2025 and approved by Full Council on 21 January 2026. The yield derived from the Council's standard (Band D) charge is a multiple of the number of properties chargeable in each banding. The Council's tax base has increased from 141,570 to 154,863 (9.39%) raising an additional income of £7.003m. This is significantly higher than the usual growth due to the Council's identification of additional homes during 2025/26 which are eligible for the Second Home Premium.

13.2. Other changes in the base arise due to new properties being brought into use; alterations to existing properties changing their valuation; and changes to the number of residents entitled to funding via the local council tax support scheme.

13.3. The table below summarises the council tax base position for Westminster in 2026/27. It also includes the council tax element for Queens Park Community Council and Montpelier Square Garden Committee:

Financial Year	Queen's Park Community Council	Montpelier Square Garden Committee	Rest of the City of Westminster	Whole of the City of Westminster
2025/26	3,739.64	101.76	137,728.43	141,569.83
Change	86.24	11.52	13,195.27	13,293.03
2026/27	3,825.88	113.28	150,923.70	154,862.86

13.4. All other things being equal, the overall increase in the tax base has the impact of yielding additional revenue receipts without any change in the headline Band D chargeable rate. Every 1% growth in the base generates c.£0.816m of council tax income.

13.5. The Local Government Finance Act (1992), as amended by the Localism Act (2011) requires local authorities to consider whether their relevant basic amount of council tax (effectively the Band D amount) is excessive. The Secretary of State has, under regulations, determined that an increase of more

than a council tax threshold of 2.99% (excluding the Social Care precept) would constitute to an excessive increase for 2026/27 and would be subject to a referendum.

13.6. The schedules accompanying this report sets out the financial implications on the Council's overall budget of freezing the general element of council tax and applying the 2% adult social care increase for 2026/27. Cabinet is asked to recommend the proposed 2% increase in Band D council tax in 2026/27 to Full Council, from £526.80 to £537.34, an annual increase of £10.54.

13.7. The London Assembly is due to meet to consider the Mayor's proposed budget for the GLA for final approval on 26 February 2026. Currently, the Mayor's proposed budget recommends an increase to the 2026/27 Band D equivalent charge from £490.38 to £510.51, an increase of £20.13 rise in the adjusted Band D Precept (4.1%).

13.8. Queen's Park Community Council notified the Council that their precept for 2026/27 will remain unchanged from 2025/26 at £52.31 (Band D equivalent).

13.9. The Montpelier Square Garden Committee has notified the Council that their special expense for 2026/27 will not change. The Band D equivalent for 2026/27 will reduce from £613.21 to £550.85 due to an increase in the council tax base.

13.10. The table below summarises the average council tax as will be reflected by MHCLG – with the Westminster band D rate including Montpelier Special Expense:

Average Band D Council Tax (£)		2025/26	2026/27
(a) Average Band D including Montpelier special expense		527.24	537.74
(b) Average Band D including Montpelier special expense and Queens Park local precept		528.62	539.04
(c) Average Band D including Montpelier special expense, Queens Park local precept and GLA precept		1,019.00	1,049.55

13.11. Local authorities have been granted additional powers from the Ministry of Housing, Communities and Local Government (MHCLG) to raise additional funding via an additional precept to support spending on adult social care activities, which would otherwise have been unaffordable.

13.12. As set out in this report there are continuing pressures in social care services so it is being recommended that the Council takes the opportunity to provide additional funding for these important services in line with the government thresholds. This report recommends an increase of 2.00% per annum, the maximum allowed. It should be noted that the proposed budget includes additional spending on adults' social care which exceeds the precept increase.

13.13. The collective impact of the proposed changes discussed above to the Westminster Band D amount from an increase of 2.00% for Social Care and a

freeze on the general element for 2026/27 is additional income of £1.632m as set out below:

Approved Band D 2025/26 (£)	**526.80**
General - 0.0% increase (£)	0
ASC - 2.0% Increase (£)	10.54
Approved Band D 2026/27 (£)	**537.34**
Council Tax Base 2026/27	**154,862.86**
Increased rate (£)	10.54
Additional Income (£)	**1,632,255**

13.14. The table below summarises all the proposed changes to council tax and impacts on residents, and the table below that shows how much income will be raised:

Band D Breakdown	Queen's Park Community Council	Montpelier Square Garden Committee	Rest of the City of Westminster
2025/26 Precept (£)	526.80	526.80	526.80
WCC: General Element @2.99% Increase (£)	0	0	0
WCC: ASC Precept @2.00% Increase (£)	10.54	10.54	10.54
Sub-Total	**537.34**	**537.34**	**537.34**
Greater London Authority Precept (£)	510.51	510.51	510.51
Queen's Park Community Council (£)	52.31	0.00	0.00
Montpelier Square Special Expense (£)	0.00	550.85	0.00
Total Band D Amount (£)	**1,100.16**	**1,598.70**	**1,047.85**

Band D Breakdown	Queen's Park Community Council	Montpelier Square Garden Committee	Rest of the City of Westminster	Whole of the City of Westminster
2026/27 Council Tax Base (No. of Band D Equivalents)	**3,825.88**	**113.28**	**150,923.70**	**154,862.86**
Westminster City Council (£)	2,055,798	60,870	81,097,341	83,214,009
Greater London Authority Precept (£)	1,953,150	57,831	77,048,058	79,059,039
Queen's Park Community Council (£)	200,132	0.00	0.00	200,132
Montpelier Square Special Expense (£)	0.00	62,400	0.00	62,400
Total Band D Amount (£)	**4,209,080**	**181,101**	**158,145,399**	**162,535,580**

Council Tax Reduction Scheme

13.15. The Local Government Finance Act 2012 replaced the previous national Council Tax Benefit scheme with a locally determined Council Tax Reduction Scheme (also known as a local Council Tax Support (CTS) scheme) from 2013.

13.16. Each local authority is required to annually set a local Council Tax Reduction scheme for working age claimants. The government continues to operate a statutory national scheme for pensioners, which provides them with broadly the same level of Council Tax Support as they received under the previous Council Tax Benefit scheme, but which has been adjusted by the government since its introduction to incorporate several welfare reform initiatives.

13.17. Since 2013/14, the Council has agreed a Council Tax Support scheme which mirrored the previous Council Tax Benefit scheme (i.e. a 100% scheme) despite resources from government being reduced by 10% at the time of transfer. This ensured Westminster's working age claimants didn't have to pay more Council Tax. Technically this means that the original Council Tax Reduction Schemes (Default Scheme) Regulations are mirrored within the City Council's local scheme, with the addition that rates used to calculate the discount are uprated each year, and War Disabled Pensions, War Widow, Pensions and Armed Forces Compensation scheme payments are disregarded in full when calculating a claimant's income.

13.18. The Council recently approved the retention of the "100%" Council Tax Reduction scheme for the 2026/27 financial year. Whilst many other local authorities have reduced the level of their Council Tax Support (which means their CTS claimants must contribute more to Council tax), Westminster's decision will protect claimants locally.

Second Home Premium

13.19. The Levelling-up and Regeneration Act 2023 became law on 26 October 2023. The legislation allows for a Second Home Premium (additional charge) on second homes of up to 100%. The ability to charge a Second Home Premium technically came into effect on 1 April 2024, although there was a legislative requirement to delay implementation for 12 months before the premium could be implemented. Central government advised that this delay was to "give property owners a chance to respond, for example by selling or letting their properties".

13.20. In December 2025 the Cabinet agreed to continue to implement a 100% Second Home Premium for the 2026/27 financial year. It is estimated that this premium will result in c.£6m of additional income for the Council.

The Collection Fund

13.21. Statutory regulations require local authorities to account for annual council tax/ business rates income in a different way to normal accounting arrangements as would apply if using International Financial Reporting Standards (IFRS). This means any variance between the originally estimated net council tax / business rates yield and what is achieved in year is not immediately recognised and is held on the balance sheet to be distributed in subsequent years. The effect of these regulations is that for 2026/27 the above estimates will represent the amount of income credited to the revenue account for that year regardless of the actual achieved.

13.22. The Council has been reporting a deficit in its **Collection Fund business rates** account since 2020/21, except for a one-off surplus generated in 2023/24 due to the release of funds previously held to finance the cost of business rate appeals on the 2017 rating list. The Council is currently forecasting to continue to be at a below baseline position for 2025/26, in which it will lose 7.5% of its baseline funding, which amounts to £7.6m, and this will be covered by the Business Rates Risk Reserve. Any loss above this threshold activates the Government's safety net funding. Over the last five years the Council has had to fund a total of £35.4m through its business rates income being below its original baseline position.

13.23. The Council is also forecasting to be below its baseline position for 2026/27, however as part of the reforms to the business rates retention system, central government is increasing the level of safety net protection to ensure that authorities receive 100% of their baseline funding in 2026/27. This level of protection will gradually be scaled back over the course of the multi-year settlement period, so that by 2028/29 authorities will revert to losing 7.5% of their baseline funding if income is below the baseline position.

13.24. The Council has reported a deficit in its Collection Fund council tax account since 2020/21, until 2025/26 when it is now expected to return to a surplus position, largely due to more second homes premium being received in year compared to the forecast. The Council's share of this surplus has been estimated at £2.786m, which will be realised in 2026/27 and has been included within the proposed budget. Looking forward, the Council expects to be in a surplus position again for 2026/27.

Business Rates

13.25. Significant change is being implemented all at the same time from April 2026 in the national system for business rates, which is also aligning with revenue support grants for Councils through the Fair Funding Review.

13.26. A national revaluation of business rates will be applied from 1 April 2026, in which rateable values have been updated by the Valuation Office Agency to reflect the market value of non-domestic properties as of 1 April 2024. The total rateable value for businesses in Westminster has increased by 22.3%, which is marginally above the national average increase of 19.4%. As a result of the overall increase in the total rateable value for England, Central Government have reduced the value of the standard multiplier to 48.0p in 2026/27 (55.5p in 2025/26), and the small multiplier to 43.2p (49.9p in 2025/26). The increase in total rateable value in Westminster due to the revaluation is therefore largely offset by the corresponding reduction in the national multipliers.

13.27. The government has also introduced permanently lower standard and small multipliers for retail, hospitality and leisure (RHL) properties with a rateable value below £500,000 from 2026/27, which follows the removal of the temporary RHL relief that has been provided since the pandemic. This will be funded by the introduction of a new high-value multiplier for non-domestic

properties with a rateable value of over £500,000. There will be no loss or additional income retained by the Council due to these new multipliers, as the S31 grant system will be used by central government to compensate authorities for lost revenue due to RHL discounts, and to collect additional revenue due to the high-value multiplier supplement.

13.28. The impact of the business rates revaluation and changes to the multipliers is an increase in Westminster's gross debit, i.e. the total amount of business rates that must be paid by entities within the City, from £2.602bn to £2.735bn. This is an overall increase of 5.1%.

13.29. The government will also implement a full reset of the Business Rates Retention System from 2026/27, as business rate baselines, baseline funding levels and resulting top-up/tariff amounts for each local authority are to be reset as part of the wider Fair Funding Review. The value of the new business rates baseline and tariff payable for the Council has been determined using the draft 2026 valuation list published in November 2025 and will be adjusted to reflect the final valuation list as of 1 April 2026 during the 2026/27 financial year. Given that the Council is forecasting to be below its baseline position in 2026/27 and that the level of safety net protection is increasing to 100% for the first year of the multi-year settlement, any additional tariff payable due to this revaluation adjustment will be covered by additional safety net receipts from central government.

Business Rates: The Collection Fund and Pooling

13.30. The Council was part of the 2018/19, 2019/20 and 2020/21 London Business Rates Pool. All London Councils agreed to discontinue the London-wide pool for 2021/22 due to the volatility in business rates following the pandemic and expected reduction in business rates income. Therefore, Councils returned to the previous business rates share regime that allocated income based on the following proportions: WCC 30%, GLA 37% and central government 33%. In recent years a smaller group of boroughs agreed to pool but will not continue to do so in 2026/27, as it is no longer viable following the redistribution of accumulated growth within the reset of the business rates retention system.

Levies and Special Charges

13.31. Three bodies recover their net cost by way of a levy on local authorities – this charge is thus separately identified within the council tax charged by those local authorities. The three bodies are:

- Environment Agency – recover the cost of flood defence works across the Thames region.

- Lee Valley Regional Park Authority – recover the cost of running the Lee Valley Park facilities in the North-West of London; and

- London Pensions Fund Authority – recover the pension costs arising from the abolition of the Greater London Council.

13.32. At the time of writing this report, the Council is awaiting notifications from these three bodies to confirm the 2026/27 levies. Therefore, the 2025/26 levy charges are included in this report with an allowance for inflation. If the final amounts are different, then this will be covered by the corporate items budget.

High Value Council Tax Surcharge

13.33. In the Chancellor's budget in November 2025, it was announced that a high value council tax surcharge would be implemented from April 2028. This will be an annual tax, collected alongside and in addition to the council tax on properties valued at £2 million or more. The charge will be a flat-rate ranging from £2,500 to £7,500. The new tax is expected to affect less than 1% of properties nationally, however that percentage will be significantly higher in Westminster. The additional money collected will be paid to the Treasury.

14. Other Budget Reports

14.1. As part of the budget setting process each year there is also a statutory requirement to present the Capital Strategy, HRA Business Plan and Treasury Management Strategy to Cabinet and Full Council.

Capital Strategy

14.2. The Capital Strategy sets out the Council's long term capital investment plans over the next 15 years. The Capital Strategy is being reported separately on the agenda for this committee meeting.

14.3. The Council's long-term capital investment is underpinned by the objectives of Fairer Westminster. Capital investment is considered within the Council's overall medium to long-term priorities, and the preparation of the capital programme is an integral part of the financial planning process. This includes taking full account of the revenue implications of the plans. The capital programme overall has increased and so the level of revenue budget needed to be set aside to fund the programme has been reviewed.

14.4. From 2025/26 an additional £0.5m per annum was provided which increases the capital financing budget to £3.5m each additional year. The affordability of these plans will be kept under annual review.

Housing Revenue Account Business Plan

14.5. The Housing Revenue Account will be budgeting a breakeven position in 2026/27

14.6. The HRA capital programme is the vehicle through which the Council identifies and prioritises funding to support two important programmes of investment:

- a Planned Maintenance Programme that seeks to improve the condition of existing HRA stock; and

- a Development Programmes which seeks to deliver new affordable housing.

14.7. As far as borrowing to fund the capital programme is concerned, the HRA is subject to the CIPFA Prudential Code and must therefore set borrowing limits that are sustainable within the context of the 30-year business plan. This means that all borrowing is ultimately limited to the extent to which the 30-year HRA Business Plan can afford the service the interest costs on new debt.

14.8. The current approved HRA business plan sets two simple parameters to assess the sustainable borrowing capacity and viability of the HRA:

- a minimum HRA reserve level of 10% of turnover / 15% of rents; and

- a minimum interest cover ratio of 1.20 to ensure that the operating surplus is not entirely committed to covering interest costs. This also ensures that the business plan can tolerate some volatility on interest rates or inflation.

14.9. The MTFP process has involved a complete review and refresh of all assumptions that go into the business plan. This focussed on setting budgets that meet the specific objectives and priorities of the service, with a continued strategic commitment to maximise HRA borrowing capacity to support the delivery of new social and affordable housing. This is set alongside the need to mitigate against the impact of inflation on costs. The outcome of this means that the HRA will need to deliver ongoing savings in the medium term to maintain a balanced 30-Year Business Plan.

Rent Setting

14.10. As social rents are the main source of income for the HRA Business Plan, a key consideration for the refresh is future rent levels. Rent increases are subject to the Rent Standard, which stipulates annual rent increases of CPI+1% (based on September CPI at 3.8%). However, in addition Government have recently announced a Social Rent Convergence policy that proposes an additional £1 per week in 2027/28 and £2 per week from 2028/29, which would be in addition to the Rent Standard increase. This has been built into the business plan for a 10-year period from 2027/28.

Risk Measures

14.11. Whilst national economic factors can create some financial challenges for the HRA business plan, each iteration of the plan contains a series of measures designed to help the HRA to manage such volatility. The capital programme continues to hold a contingency, the revenue budget has a set level of interest cover, and the HRA reserves exist to manage short-term shocks. These are all elements of the business plan that can be leveraged to keep the HRA on a robust and sustainable financial footing, and a thorough review of appropriate risk cover will form another integral part of the business plan refresh.

Treasury Management Strategy

14.12. The annual Treasury Management Strategy Statement (TMSS) is presented to Cabinet and Full Council as part of the budget process. The TMSS sets the strategy framework, criteria, boundaries, and limitations for borrowing and investment decisions over the next year and the three subsequent years to ensure security of capital, liquidity, and yield.

14.13. As anticipated in the 2025/26 TMSS, the Council took no additional long-term borrowing for the financial year due to the high level of cash holdings, save for some opportunistic borrowing for energy efficiency schemes totalling £8.4m at 3.5% (at drawdown the equivalent PWLB rate was 5.19%). Officers are monitoring market conditions and reviewing the need to borrow in future years if a requirement is identified for either the General Fund or the HRA.

14.14. The current 2025/26 annual investment strategy was set in an environment of relatively high interest rates, with expectations that Bank Rate rises had peaked in 2023/24. CPI inflation was 2.6% in March 2025, gradually rising during the early part of the year and peaking at 3.8% in September. The Bank of England cut the base rate from 4.5% to 4.25% in May, followed by another cut in August to 4.0% and a further cut in December to 3.75%. CPI inflation remains volatile and above the Bank of England's target of 2%.

14.15. The overall longer-term trend is for gilt yields to fall back over the coming years as inflation further stabilises and falls back in line with the target 2% rate in mid-2027. Investment yields for the year have remained relatively high, however are expected to fall throughout the remainder of the financial year and into next year as weak growth stalls economic growth efforts and the Bank of England continues to cut Bank Rate. Fiscal tightening off the back of the Chancellor's Autumn Budget will also create expectations of further rate cuts.

14.16. Various opportunities to diversify the treasury portfolio, ensure further the security of cash balances, ensure appropriate liquidity to meet Council obligations as and when required, and enhance yield within acceptable risk parameters continue to be investigated.

15. Stakeholder Engagement

15.1. Community engagement is central to how Westminster City Council plans and delivers its services. Continually listening to residents and involving them in decision-making processes is essential in shaping everything from the Council's priorities to budget decisions. This ensures that services provided genuinely reflect community needs and perspectives, allowing for more effective resource allocation.

15.2. Engaging with the community helps ensure services meet resident needs and resources are used efficiently, from planning to delivery, with a focus on delivering tangible benefits for residents.

15.3. The Council is committed to becoming a Fairer Council by delivering services that are effective, offer good value for many, and respond to the diverse needs of residents. This year, significant progress has been made in embedding

community engagement into Council processes, with a strong emphasis on inclusion, transparency, and collaboration.

15.4. Through engagement with residents, the Council can better identify community needs and ensure resources are directed where they are most needed. This process informs service delivery and financial planning, ensuring that budget decisions and the actions taken align with community priorities. Some key actions this year include:

- Launching the Community Charter, which sets out principles for meaningful participation and decision-making with the community.

- Expanding the Register of Active Residents, ensuring local voices remain central in shaping policies and services while encouraging civic engagement and skill development.

- Using the Commonplace consultation platform to offer more opportunities for residents to influence local decisions and ensure that projects reflect community needs.

- Launching the Resident Engagement Strategy and 'Your Voice Counts' campaign in May, raising awareness of opportunities for residents to influence housing services and other Council activities.

15.5. Looking ahead, the Council will continue to strengthen engagement by:

- Launching the Community Researcher Programme to train residents to lead local conversations, ensuring their voices are heard in decision-making and helping guide service planning and delivery.

- Embedding the Community Participation Charter to ensure all Council services are inclusive, accessible, and accountable to residents, and resources are used effectively.

- Implementing the Community Equalities Strategy to improve access to services, promote community connections, and ensure equal opportunities for all.

- Continuing resident engagement in Regeneration and Development programmes, ensuring their involvement in decisions about projects that impact their communities to reflect local needs.

- Delivering the Communities Priorities Programme, a participatory budgeting initiative where residents determine which activities should be funded in their area, ensuring that financial planning reflects local priorities.

- Expanding opportunities for residents, particularly underrepresented groups, to influence service delivery, with a focus on housing.

- Collaborating with community and cultural organisations to encourage greater involvement in initiatives such as the Climate Action Committee, focused on reducing carbon emissions and promoting sustainability, and the Westminster Culture Network, which brings together cultural groups to support arts and heritage projects.

16. Financial Implications

16.1. The financial implications are set out in the body of this report.

17. Legal Implications

17.1. The function of calculating the City Council's budget requirement and the City Council's element of the Council Tax, and the function of setting the Council Tax, are the responsibility of the full Council. The function of preparing estimates and calculations for submission to the full Council is the responsibility of the Cabinet.

17.2. In coming to decisions in relation to the revenue budget (and the Council Tax), the Council and its officers have various statutory duties. In general terms, the Council is required by the Local Government Finance Act 1992 to make estimates of gross revenue expenditure and anticipated income, leading to a calculation of a budget requirement and the setting of an overall budget (and Council Tax). The amount of the budget requirement must be sufficient to meet the City Council's legal and financial obligations, ensure the proper discharge of its statutory duties, and lead to a balanced budget.

17.3. The Council should be satisfied that the proposals put forward are a reasonably prudent use of resources in both the short and long term, and that the interests of both council taxpayers and ratepayers on the one hand and the users of Council services on the other are both considered.

17.4. Section 25 of the Local Government Act 2003 requires that when a local authority is making its budget calculations, the Chief Finance Officer of the authority must report to the Council on the robustness of the estimates made for the purposes of the calculations and the adequacy of the proposed financial reserves. The Council has a statutory duty to have regard to the report of the Section 151 Officer on these issues when making decisions about its budget calculations. Attention is drawn to the report as set out in Section 10 where it is stated that the estimates are sufficiently robust for the purposes of the calculations and that the proposed financial balances and reserves over the medium term are adequate.

17.5. Some savings proposals may only be delivered after specific statutory or other legal procedures have been followed and/or consultation taken place. Where consultation is required, the Council cannot rule out the possibility that they may change their minds on the proposal because of the responses to a consultation, and further reports to Cabinet or Cabinet Member (as appropriate) may be required.

17.6. Apart from statutory duties relating to specific proposals the Council must consider its obligations under the Equality Act. This is addressed in Section 16. In developing a final set of proposals for consideration, officers have had regard to how the equality duty can be fulfilled in relation to the proposals overall. However further detailed equality impact assessments may be required for specific proposals as identified by each directorate prior to final decisions being made.

17.7. Section 106, Local Government Finance Act 1992, applies to Members where:

- they are present at a meeting of the Council, the Cabinet or a Committee and at the time of the meeting an amount of Council Tax is payable by them and has remained unpaid for at least two months; and

- any budget or Council Tax calculation, or recommendation or decision which might affect the making of any such calculation, is the subject of consideration at the meeting.

17.8. In these circumstances, any such Members shall at the meeting and as soon as practicable after its commencement disclose the fact that Section 106 applies to them and shall not vote on any question concerning the matter. Such Members are not debarred from speaking. Failure to comply with these requirements constitutes a criminal offence, unless any such members can prove they did not know that Section 106 applied to them at the time of the meeting or that the matter in question was the subject of consideration at the meeting.

17.9. In relation to the use of General Fund and HRA (non-right to buy) capital receipts funds to fund transformation projects detailed in this report, the Council complies with the statutory guidance issued under section 15(1)(a) of the Local Government Act 2003.

17.10. Under powers contained in the Localism Act 2011, the Government can require compulsory referendums on Council Tax increases above limits it sets. For 2025/6, the referendum threshold is 2.99%. The proposal is within the threshold change: the Council will therefore not be required to hold a referendum.

17.11. In addition to the referendum threshold, the Government has also announced a threshold of an additional 2% for authorities with Social Care responsibilities. The borough needs to raise funding on this account for 2025/26 and is therefore proposing to implement the precept.

18. Climate Implications

18.1. The Council is delivering an ambitious programme of climate action in line with meeting our dual 2030 (council operations) and 2040 (citywide) net zero targets. This ongoing commitment is supported by funding in the Council budget for projects that - directly or indirectly - deliver climate benefits. Further details are set out in Appendix 12.

19. Equalities Impact Assessment

19.1. Under the Equalities Act 2010 the Council has a legal duty to pay "due regard" to the need to eliminate discrimination and promote equality about the protected characteristics of age, disability, gender reassignment, marriage/ civil partnership, pregnancy/ maternity, race, religion or belief and sexual orientation.

19.2. The equality duties do not prevent the Council from making difficult decisions such as reorganisations and relocations, redundancies, and service reductions nor do they stop the Council from making decisions which may affect one group more than another. The law requires that the duty to pay "due regard" be demonstrated in the decision-making process.

19.3. A screening of all budget measures has been undertaken to ensure that the equality duty has been considered where appropriate. Details of the Equality Impact Assessments (EIAs) are included in Appendix 7. Where it has been identified that a proposal may have an adverse impact on people who share a protected characteristic, an assessment of the impact has been undertaken to ensure that "due regard" is paid to the equality duties as required by statute. Where budget proposals required a full EIA to be undertaken, these have been published and shared with the Budget & Performance Task Group to ensure they form part of the budget scrutiny process.

19.4. The legal implications for all savings proposals will be considered when approval is sought for each proposal. Each proposal will be approved in accordance with the council's constitution.

20. Consultations

20.1. As part of the financial planning process the Council consulted with businesses and residents. The responses have been considered as part of the proposed 2026/27 budget.

20.2. An assessment of whether individual saving proposals require consultations is set out in the papers presented to the Scrutiny Budget Task Group in January 2026.

APPENDICES

- Appendix 1 – Council Tax Resolution
- Appendix 2 – Scrutiny Budget Task Group Papers
- Appendix 3 – Summary of Gross, Income and Net budgets
- Appendix 4 – List of new savings
- Appendix 5 – Service Pressures and Investments

- Appendix 6 – Previously agreed savings
- Appendix 7 – EIA Summary
- Appendix 8 – S25 Report of the Chief Financial Officer
- Appendix 9 - CIPFA Financial Management Code 2025-26
- Appendix 10 – Net Budget Trail
- Appendix 11 – Balance Sheet Analysis
- Appendix 12 – Climate Implications

If you have any queries about this Report or wish to inspect any of the Background Papers, please contact:

Lyndsey Gamble, Head of Corporate Finance - lgamble@westminster.gov.uk

For any queries on Appendix 7 and Individual EQIAs please contact Serena Simon (ssimon@westminster.gov.uk) or Andre Johnsen (ajohnsen@westminster.gov.uk)